BLOCK 6
MAJOR ISSUES CONFRONTING INDIAN ECONOMY

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The major issues confronting Indian economy, i.e., Poverty, Malnutrition and Inclusive Growth, Employment and Unemployment, Social Security, Regional Disparities, and Good Governance constitute the subject matter of Block 6. The block comprises of **five units**.

Unit 21 entitled **Poverty, Malnutrition and Inclusive Growth: Policy Implications** throws light on the concept of Poverty, different income and non-income indicators of poverty, concept of Malnutrition and the factors conditioning the nutritional status of children and adults in India. It also covers the concept of inclusive growth along with the policy implications.

Unit 22 entitled **Employment and Unemployment: Policy Challenges** covers various dimensions of unemployment in India, the concepts used in measuring employment and unemployment by NSSO and PLFS. The unit examines growth and the quality of employment in the post-reform period, and suggests various measures towards the employment policy framework.

Unit 23 entitled **Social Security Measures in India** discusses the meaning of social security, the approaches towards social security, different acts and programmes launched by the government on Social Security. It also analyses social security code and its benefits along with the policy measures.

Unit 24 entitled **Regional Disparity in India: Policy Implications** sheds light on the meaning of regional disparity, analyses regional disparity in terms of macroeconomic aggregates including growth rate, per capita GDP, etc. Special focus has been given to the regional disparity in agriculture and infrastructural development, and on review of regional disparity in human development.

Unit 25 entitled **Ingredients of Good Governance** explains the meaning and the importance of governance, narrates the evolution of the definition of good governance along with the features of good governance. It also presents an overview of the state of governance in India.

UNIT 21 POVERTY, MALNUTRITION AND INCLUSIVE GROWTH: POLICY IMPLICATIONS

Structure

21.0 OBJECTIVES

After reading this unit, you will be able to:

- define the concept of poverty;
- know different income and non-income indicators of poverty;
- identify the income and non-income dimensions of poverty in India;
- explain the Concept of Malnutrition;
- discuss the factors that condition the nutritional status of children and adults in India;
- analyse the persistence of nutrition problem in India in spite of the progress made in poverty reduction; and
- examine the concept of inclusive growth and the policy implications.

21.1 INTRODUCTION

Poverty, inequality (and hence need for inclusive growth) and unemployment are inter-related issues. One cannot be appreciated without knowing the dimensions of the other. We need to distinguish between the concept of absolute poverty and the concept of relative poverty. Simple increase in the GDP may not be a sufficient condition (although a necessary condition) to enable all sections of the society to share the fruits of growth. Empirical evidence shows that the benefits of growth are unevenly distributed (especially when an economy is in transition from a low-income category to a high-income category).

Absolute poverty explains a situation in which some persons, small or large in number, live in a state of destitution, such that these persons (or groups of persons) fail to meet their basic needs. They may live at bare subsistence, or even below subsistence levels. This situation could well arise irrespective of the size of the cake available for distribution. Here, again, two situations can be visualised. One, the size of the national cake may be so small, that it is not adequate to meet the minimum needs of all sections of the society;two, the size may be fairly large.The existing institutions and practices do not result in equitable distribution, so that a large part of national product goes to enrich the pockets of a few, and a large mass of people is left to take care of themselves with very little resources. Whatever the situation may be, a meaningful effort is required to lift the poor to a respectable level of living, Importantly, the growth process needs to be made inclusive to keep poverty in check. In this unit, we discuss these issues.

21.2 THE CONCEPT OF POVERTY

In the development literature, poverty is defined as 'multi-dimensional' phenomenon which is assessed not just with respect to lack of income, but also directly with respect to basic needs such as those related to health, education, nutrition and shelter. In a broader conceptualisation, poverty includes a lack of social security and empowerment, as well. All the income and non-income aspects of poverty help us to understand whether an individual is living decently and with dignity or not. This broader conceptualisation of poverty has been popularised by UNDP in 'Human Development Report' and World Bank in 'World Development Report'. It defines poverty as 'a human condition characterised by the sustained or chronic deprivation of the resources, capabilities, choices, security and power necessary for the enjoyment of an adequate standard of living and other civil, cultural, economic, political and social rights' (UN, 2001).

The Noble laureate Prof.AmartyaSen has contributed to broadening the understanding of human wellbeing,and therefore poverty, in the importance he attaches to the concept of capability of a person to function in a society. Poverty arises in the society where people lack capability, for example, to earn a livelihood, maintain an adequate living standard or health, possess low self-confidence or powerlessness. The state of poverty is sometimes visualised in terms of a 'human rights approach' that defines poverty as the denial or violation of economic, political, social and civil rights. The rights may be right to education, right to minimum health, right to decent living and right to employment. These rights if guaranteed would ensure that an individual is able to livean adequate and dignified life above the minimum threshold.

21.3 MEASUREMENT OF POVERTY

Before analysing the measurement of poverty, it is necessary to know why we need to measure poverty or in other words what is the objective of measuring poverty. Poverty measurement is a powerful instrument to focus the attention of policymaker or government on the living condition of poor. The second reason for measuring or identifying the poor is to be able to target poverty eradication meaningfully. The different measures of poverty help us analyse the incidence and the extent of poverty among different geography (rural, urban, hilly, tribal dominated), different social categories of population (Scheduled caste, Scheduled tribe, Muslims, women headed households, households without earning members), etc. For example, if the incidence of poverty among agricultural labourers is high, government can take some measure so that this section of population can bridge the poverty gap, such as by providing cheap credit facility, housing facility, different type of skill training, etc. Poverty measurement also helps many international agencies to easily target the extremely poor region for intervention (within their limited resources). The measurement of poverty also helps the government to evaluate the policies and programmes that is specifically implemented to eradicate poverty. For example, if the KBK (Kalahandi-Korapur-Bolangir) region in Odisha is most poverty ridden, then government can implement some focused programmes in the same region.

21.3.1 Income Indicators of Poverty

At the outset, in estimating the incidence of poverty, we need an income threshold or poverty line to identify the poor. Income cut-offs used to identify the poor are often viewed as arbitrary. The poverty line can be defined as the minimum requirement of an individual for a healthy living. The minimum requirement can include both food and non-food items. There are many income poverty measures. Some of the important poverty measures frequently used are:

a) Head Count Index (HCR)

The most widely used poverty measure is the *headcount index*, which simply measures the proportion of the population that is counted as poor. In other words, the incidence of poverty is defined as the proportion of poor to the total population.

$$PovertyHCR = \frac{Numberofpeoplebelowpovertyline\ (NP)}{Totalpopulation\ (N)} \times 100$$

For example, if 120 people out of 600 total population are poor, then the proportion of population below poverty line is calculated as 20 per cent (120/600 × 100=20per cent). This is expressed in percentage. The greatest virtues of the headcount index is that it is simple to construct and easy to understand and helps to compare among different subgroup/areas (like rural/urban or social category such as SC/ST/OBC or different states) at a point of time or over a period of time. From this we can know whether poverty rate is reducing or not and if reducing what is the pace of reduction.

However, the HCR method is not free from limitations. Firstly, the head-count index does not indicate how much poor the poor are, and hence does not change if people below the poverty line become poorer. Moreover, the easiest way to reduce the headcount index is to target benefits to people just below the poverty line, because they are the ones who are easiest to move across the line. But by most normative standards, people just below the poverty line are the least deserving of the poor. This can be explained by way of an example. Let us take two countries i.e. country 'A' and country 'B' and each having four persons.

If the poverty line is 450, then in both the countries 50 per cent of people are below poverty line, but country A shows the high intensity of poverty as compared to country B. Hence the proportion of people just below poverty line are less deserved poor as compared to the people lying far from poverty line. Secondly the HCR calculate poverty level by household. Hence if for a community or area where the family size is high the percentage of poor is higher as compared to low family size area.

HCR of Country A and B assuming Poverty Line 450					
	Expenditure 1st Individual	**Expenditure 2nd Individual**	**Expenditure 3rd Individual**	**Expenditure 4th Individual**	**HCR (%)**
Country A	250	275	500	500	50
Country B	448	449	500	500	50

Again, the intra-household issue of poverty is not captured by this method and we assume that the level of well-being is same for all the household members. But in many cases, it is found that poverty level among girl child or senior people are higher than the adult member within the same household. The depth and severity of poverty cannot be found out by the HCR method. This is captured by poverty gap index.

b) Poverty Gap Index (PGI) and Squared Poverty Index (SPI)

PGI is another measure that is derived from income or expenditure distribution. This measure shows how far below is the income/consumption of people/households from poverty line. The PGI shows the shortfall of expenditure of the poor relative to poverty line. It adds up the extent to which individuals on average fall below the poverty line and expresses it as a percentage of the poverty line. More specifically, the poverty gap (*Gi*) is the poverty line (*Z*) less actual income (Y_i) for poor individuals; the gap is considered to be zero for everyone else.

$$\text{PGI} = \frac{1}{N}\sum_{i=1}^{N}\left(\frac{Z-Y_i}{Z}\right) \quad (1)$$

Where N is the total population or sample and $Y_i<Z$.

On the other hand, the Squared Poverty Index (SPI) is simply a weighted sum of poverty gaps (as a proportion of the poverty line), where the weights are the proportionate poverty gaps themselves; a poverty gap of (say) 20 per cent of the poverty line is given a weight of 20 per cent while one of 50 per cent is given a weight of 50 per cent; this is in contrast with the poverty gap index, where they are weighted equally.

The SPI can be defined as

$$\text{SPI} = \frac{1}{N}\sum_{i=1}^{N}\left(\frac{Z-Y_i}{Z}\right)^2 \quad (2)$$

Where, N=total population or sample size, Z=Poverty line, Y_i=Income/consumption expenditure of poor and $Y_i<Z$.

The PGI and SPI can be explained with the help of a numerical example given below.

Calculating the Poverty Gap Index (PGI) and Squared Poverty Index (SPI), assuming poverty line of 130				
	Expenditure of each Individual			
Expenditure in country A	**110**	**115**	**150**	**160**
Poverty gap (*Gi*)	(130−110)=20	(130−115)=15	0	0
Gi/z	20/130=0.15	15/130=0.12	0	0
(Gi/z)^2	$(0.15)^2$=0.024	$(0.12)^2$=0.013	0	0
Poverty Gap Index = (0.15+0.12)/4 = 0.07				
Square Poverty Index = (.024+.013)/4 =.009				

You can check the above example when expenditure of first and second individual is 120 and 125 respectively (that is, poverty gap is low) and for other two person the expenditure remains same at 150 and 160 respectively, the PGI=0.03 and SPI= 0.002; whereas if the expenditure of first and second individual is 75 and 80 respectively while for the other two person the expenditure remains the same at 150 and 160, respectively, then the PGI = 0.20 and SPI = 0.082.

C) Sen Index (P_S).

Prof. Sen developed this index which combine the effect of number of poor, the depth of their poverty, and the distribution of poverty within the group. This can be summerisedin the equation as

$$P_s = P_0(1-(1-G^P)\frac{\mu^P}{z})$$

where P_0 is the headcount index, μ^P is the mean income (or expenditure) of the poor, and G^P is the Gini coefficient of inequality among the poor. There are two other measures the 'Sen-Shorrocks-Thon index' and the 'Watts Index' which we shall not go into detail.

21.3.2 Non-Income Indicators of Poverty

As discussed earlier, the poor are identified by setting a poverty line on the basis of household consumption expenditure or income. The well-being of a person defined on the basis of income or consumption expenditure is a unidimensional approach and this does not provide the complete picture of the extent of deprivation. In most situation it may be desirable to look atother aspects of poverty which includes several non-income indicators like housing status, sanitation status, health status (child mortality, maternal mortality rate, morbidity), educational status, etc.

Since 1990, UNDP has been preparing the Human Development Index by using three most important attainments that are valued by people:

i) Longevity: The choice to lead a healthy life

ii) Educational attainment: The choice to acquire knowledge

iii) Economic attainment: To have access to the resources needed for a decent level of living

The countries are ranked on the basis of composite indicators on these three aspects of well-being or the three choices that are critical for people to live a decent life. The HDR also estimates the Human Poverty Indices by taking three deprivations which include

i) Proportion of population not expected to survive beyond 40 years
ii) Adult literacy rate
iii) Percentage of population without sustainable access to an improved water source and percentage of children aged 5 or below who are underweight for their ages.

Following the UNDP framework, the Planning Commission has also prepared India's human development report. The selection of indicator in planning commission's HDI is to some extent different from that of UNDP report. In general, different countries and researchers have experimented with the framework popularised by UNDP in its Human Development Reports by focusing more on certain aspects of well-being and poverty, given their specific objectives. This has led to different measures and policy guidance for addressing improvement in well-being or alleviating poverty at the national and sub-national level.

Gender Related Development Index (GDI) or Gender Equality Index (GEI)

The human development index devised by the Planning Commission or UNDP are explained by the overall development or well-being of a person. But this attainment does not reflect gender-based disparity in such attainment. In many of the indicators, the gender-based disparity is there which directly or indirectly affects the poverty level of female population as compared to its male counterpart. The GEI has been estimated to measure the inequality in attainments on human development indicators between females and males. This approach helps the policy maker to reflect more on the gender related programmes and policies. The same three indicators are used for males and females separately and the gap of males and females in these attainments are found. The index has been presented as a ratio of attainments for females to that of males.

Capability Poverty Measure (CPM)

UNDP has also developed a new multi-dimensional measure of human deprivation called the capability poverty measure (CPM). The CPM focuses on human capabilities. The capability poverty measure reflects percentage of people who lack basic essential human capability. This helps them to have a strong human development.

The CPM considers the lack of three basic capabilities:

- The first is the lack of being well nourished and healthy, represented in this case by the proportion of children under five years who are underweight.
- The second is the lack of capability for healthy reproduction, shown by the proportion of births unattended by trained personnel.
- The third is the lack of capability to be educated and knowledgeable, represented by female illiteracy.

Hence, multi-dimensional indicators have become important instruments in measuring "outcomes" (in the form of social attainments at individual or at a group level) as opposed to inputs (income and consumption), thereby enabling assessmentof the level of well-being/ poverty as well as of the impact of the social welfare policies on humanwelfare.

21.4 DIMENSIONS OF POVERTY IN INDIA: INCOME AND NON-INCOME DIMENSION

The first step to estimate poverty rate is to define and quantify poverty line. The Task Force on 'Projection of Minimum Needs and Effective Consumption Demand' constituted by the Planning Commission in 1979 defined the poverty line as per capita consumption expenditure level based on meeting the nutritional requirement of 2400 calories per capita per day in rural areas and 2100 calories per capita per day in urban areas along with some non-food expenditure (not anchored in any norms). It used the age-sexactivity specific calorie allowances recommended by the Nutrition Expert Group (1968) to estimate the average daily per capita requirement for rural and urban areas using the age-sex-occupational structure of their respective population. Then they find out the monetary convert for the said kilocalorie (kcal) for both rural and urban areas. The poverty line is hence partly normative and partly behavioural as it takes the value of minimum calories requirement by a person along with some non-food requirement like clothing, shelter, transport, etc. By taking 28th round NSS data, the Task Force estimated that on an average, consumer expenditure of Rs. 49.09 per capita per month meet the requirement of 2400 calories in rural area and Rs. 56.64 per capita per month with an intake of 2100 calories per capita per day in urban areas. The poverty line defined at national level (separately for rural and urban areas) was used in all the States/Union Territories (UTs). The expert group constituted by the Planning Commission (Lakdawala Committee) in September 1989 on Estimation of Proportion and Number of Poor realised that due to inter-state variation in prices, the all India poverty line cannot be used for all the states and union territories. Hence the expert group disaggregated these national level poverty lines of the Task Force into state-specific poverty lines using state-specific price indices and inter-state price differential. The expert group took the state-specific cost of living for estimating and updating the poverty line separately for rural and urban areas. The poverty line is inflated from time to time depending on the cost of living as estimated for different states. The poverty line as calculated in various rounds of NSS survey is given in Table 21.1.

Table 21.1: Poverty Line (Rs. Monthly Per Capita)

Year	Rural	Urban
1973-1974	49.63	56.76
1977-1978	56.84	70.33
1983	89.50	115.65
1987-1988	115.20	162.16
1993-1994	205.84	281.35
1999-2000	327.56	454.11
2004-2005	356.30	538.60
2011-2012	972.00	1407.0

Source: Planning Commission (1997), Press Information Bureau (2001), Press InformationBureau, (2007).

The Planning Commission set up an expert group under the chairmanship of Prof. Suresh Tendulkar to examine the issue relating to new poverty line and estimates. The expert group submitted their report in the year 2009. The committee has used the Mixed Reference Period (MRP) based estimates of the relevant NSSO quinquennial household consumption expenditure survey for their recommendations. The committee has taken the basket of household goods and services consumed by households corresponding to the poverty